

FEDERAL MARITIME COMMISSION

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TZ SSE BUYER, LLC,

Docket No. 24-10

Complainant,

-against-

YANG MING MARINE TRANSPORT.
CORP.,

Respondent.

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BRIEF FOR RESPONDENT,
YANG MING MARINE TRANSPORT CORP.

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PRELIMINARY STATEMENT

PLEASE TAKE NOTICE that, pursuant to the Order dated November 15, 2024, Respondent, Yang Ming Marine Transport Corp. (“Yang Ming”), by its attorneys, Mahoney & Keane, LLP, provides the following points of law in opposition to the arguments asserted in the Brief for Complainant, TZ SSE Buyer, LLC.

PROPOSED FINDINGS OF FACT

1. Complainant, TZ SSE Buyer, LLC, as the alleged successor-in-interest of Impact Products, LLC and Safety Zone, LLC after their bankruptcy, and as the assignee of non-vessel operating common carrier Laufer Group International (“Laufer”) pursuant to an assignment dated April 4, 2024, claims \$1,304,526.00 in demurrage, detention, per diem, and yard storage charges paid to Laufer and purportedly passed on to Yang Ming pursuant to Service Contracts and Sea Waybills running between Laufer, as Shipper, and Yang Ming, as Carrier, from the beginning 2021 through the end 2022. (Amended Complaint, Docket Entry No.15; Assignment, CX 8-12).

2. Complainant seeks to blanket recover the entirety of every single charge paid to Laufer, and assumed to have been passed on to Yang Ming, during the full two-year period, as if not a single one is valid. (Hallett Deposition, RX13) (“Q. Okay. So, am I correct that you're suing for every dollar of charges that Laufer received from Yang Ming? A. During that period, yes. Q. Yeah '21, '22, correct? A. Correct.”).

3. However, Yang Ming has confirmed that none of Yang Ming’s charges to Laufer at issue in Complainant’s claim was ever disputed, either by Laufer’s customer or by Laufer. (Supplemental Discovery Responses, RX49-50). No such documents exist, and that fact has been repeatedly expressed to Complainant. Id.

4. Nor has Complainant produced any documentation or other evidence to support a dispute of any specific charges. Complainant's witness testified:

Q. Were there any invoices presented by Yang Ming directly to SSE?

A. Not to my knowledge.

Q. All right. Were all the detention and demurrage invoices that are the subject of the lawsuit in the Federal Maritime Commission against Yang Ming presented by Laufer to SSE?

A. To my knowledge, yes.

(Hallett Deposition, RX20).

Q. All right. If they had some verification process, and they found the charge was improper, would they have done the same, passed it on to Laufer?

A. I don't know that.

Q. Do you have an expectation as to what would have happened in that case?

A. Well, in expectation versus fact, I would expect that they would verify that charge was correct before they passed it onto us.

Q. All right. So, that's another way of saying they would not have passed on improper charges to SSE, that would be your expectation?

A. That would be an expectation, yes.

Q. All right. And did you ever have any instances in respect to the timeframe that the complaint was filed against Yang Ming where SSE went back to Laufer and disputed any detention and demurrage charge?

A. To my knowledge, I would say we would not have disputed.

Q. And is that because you felt they were fair and reasonable?

MR. PACHECO: Objection to form.

A. We had the -- we had the expectation that they would have invoiced us correct.

Q. All right. And did you do any investigation on your own to assure that that was the case?

A. I don't have any specific instances that we did that, but that is not to say that we did not.

Id. at RX21.

Q. All right. And as you sit here today, do you have recollection of any disputes being lodged against Laufer for any yard storage?

A. As I sit here today, I cannot remember one.

Q. Do you have records of disputes filed or presented to Laufer?

A. There would be no filing. It would simply be an e-mail asking a question.

Q. Have you reviewed your records to see if there were any e-mails disputing either yard storage or detention and demurrage charges?

A. Not in these specific cases, no.

Id.

Q. Did anyone at Laufer ever tell you the charges in their assessment that were presented to SSE for detention and demurrage were improper or should not have been presented?

A. I don't believe they told me that directly, no.

Q. How about indirectly?

A. I would not say indirectly, either. Not that I can recall.

Q. Did anybody at Laufer ever tell you that Yang Ming had refused to deal with them at any point in time?

A. They did not tell me that, no.

Id. at RX22.

5. And, as the Bankruptcy Court docket reflects, the claim now asserted does not even appear to have even been declared in the bankruptcy case pursuant to which Complainant succeeded to the rights of Laufer's customers so as to establish that the sale of the assets, in fact,

included the present cause of action. See, 24 bk 11054 (Bankr. D. Del.), Docket Entry Nos. 156, 159, 160, 161, 164, 165, 173, 222; see also, Hallett Deposition, RX23-24 (“Q. All right. If I asked you whether the claim by the Complainants in the FMC against Yang Ming was listed as an asset or listed at all in the bankruptcy proceeding, would you be able to answer that? A. No, I would not. I do not know.”).

6. Moreover, after full discovery, only three communications involving Yang Ming during this period were produced, and they just generally note the lack of chassis availability occurring sporadically during the period. (E-Mail Exchanges, CX 151-76). But, of course, not every chassis issue or other impediment to timely retrieval and return of containers as a result of the COVID-19 pandemic can be attributed to problems with the ocean terminals, as opposed to the truckers or rail or yard facilities. See supra ¶ 7. And charges can be reduced or waived before invoicing. Id. Simply no evidence has been presented to establish that even one specific charge, let alone all of, the charges comprising the \$1,304,526.00 were invalid and/or attributable to Yang Ming.

7. Yang Ming’s witness confirmed that not every charge on Laufer’s invoices was necessarily passed through from Yang Ming:

Q. Yeah. I just meant to say: Are you aware based on your review of the Complaint that the Complainant is alleging that Yang Ming charged Laufer a total demurrage, detention, per diem, and yard storage fees in the amount of \$1,304,526 during the relevant period?

A. Okay. I don't think Yang Ming would be charging yard storage. I'm not sure where that is being claimed at, but demurrage, detention, per diem would fall under Yang Ming's service but not yard storage.

(Anki Deposition, at RX27).

A. This is not demurrage charge. This is storage charge at the railroad.

Q. Storage charge at the railroad. Okay.

A. Which is billed by the railroad.

Q. What -- Why wouldn't that -- Why wouldn't that be a demurrage charge as well?

A. Demurrage is at the port.

Q. Okay. So -- So this -- you're saying this has nothing to do then with Yang Ming, they would not have charged anything at this point?

A. No. This is -- This is at the railroad and not -- not at the port.

Q. Okay. So, again, I just want to clarify your testimony here. You're saying that Yang Ming, you know, sending all these reminders to Laufer to pick up a container, they weren't issuing any -- any charges whatsoever or they weren't receiving any -- any proceeds from the charges that were issued to Laufer because this container was -- still had missed the last free day to pick up?

A. Yes. Yang Ming was not charging anything on this. We were just doing a courtesy reminder that the container is still at the railroad.

Id. at RX28.

Q. This -- This is -- This particular case is rail storage as well?

A. Yes, it is rail storage. It is not demurrage.

Q. Okay. So you have nothing to do with -- with these issues whatsoever?

A. It is outside the scope of our business.

Id. at RX29.

8. Nor, it should be needless to say, was every charge necessarily a result of terminal issues which would warrant a waiver or reduction:

Q. So it's not all out -- it's fair to say that it's not, you know, the lack of availability from the trucker just in general, but there are other outside circumstances that prevent them -- prevent them from picking up the containers; is that right?

A. There are -- During -- During these two holidays, New Year's and, you know, Christmas, a lot of drivers go south to Mexico. A lot of them take time off. So the trucker may have low power.

Q. Okay. A. They would not have all power. So that's usually a normal thing.

Id. at RX30.

Q. So based on this e-mail, my interpretation is that, you know, the truckers really -- it wasn't the truckers that, you know, just didn't have availability. Do you read that as -- as -- as that as well, or what's your interpretation?

A. No. That is not accurate. Your statement is not accurate. During the holidays, it is -- plus in Michigan you have weather issues around this time of the year. You have two holidays falling one after the other. It's usually something that happens around New -- New Year's. So this message really tells me that they're still trying to have power or truck power or somebody that can pull it on the 8th, but the congestion and delays continue to cause -- wreck havoc, because it's the holiday congestion, the weather. That's -- That's what it is. It's just an ongoing thing. That's nothing unusual around New Year's, Christmas . . . A lot of -- You have to understand that during the holidays a lot of receiving warehouses close, like, where customers are accepting cargo. It's closed because their staff are on holiday, they're not doing any kind of receiving of new merchandise. Plus there's always in Michigan around this time the weather conditions. Two holidays, one after the other. So this type of congestion that he's mentioning is the usual norm for that time of the year.

Q. So would it be usual in 2021 --

A. Again, a lot of delivery locations, they close. They do not accept cargo between Christmas and New Year's because a lot of their employees or their distribution centers are closed.

Q. And -- And I guess my point is: Would it be usual there would -- would there be usual congestion during this time in 2021 where it was COVID, though? A lot of things were closed. People weren't traveling as much. This was literally, if I'm not mistaken -- or I could be, but this was peak COVID time. So I don't think anyone was allowed to travel or go out of the country or anything.

A. I -- I understand that. However, it -- this type of congestion is the usual without COVID. So COVID may have added some, but it's usual congestion around that time of the year.

Id. at RX31.

9. And the record is clear, with no evidence to the contrary, that, under procedures well known to its customers at the time, Yang Ming was perfectly willing to investigate, negotiate, and resolve any issues raised relative to supply-chain issues beyond shippers' control, had any such problems been raised and supports provided.

A. I don't remember specifically, but I do remember if a client came to us and brought up an issue, it was reviewed and handled as necessary as long as --

Q. And how did a client --

A. -- the facts -- as long as the facts are provided and they did follow the rules of returning an empty.

Q. And how would a client be able to do that?

A. The clients -- The truckers and the clients are advised. They know all the time. This is standard procedure. They contact the steamship line, and they say, We can't return the empty because, let's say, some railroad is not accepting it, Where can we return. And instructions are given accordingly to that trucker or the -- the client. It has to be noted. And if they have -- they cannot return it to an outside location, depot, then per diem is waived.

Q. Okay.

A. But they have to contact and they have to bring facts. And the facts are reviewed, and action is taken accordingly.

Q. Okay. And do you know whether Yang Ming has a policy about contacting them, what type of proof does a customer need to bring, who exactly do they have to contact? Is there a policy? And what is that policy, to your knowledge, if there is one?

A. Yes. There is policy that truckers contact our equipment department who is responsible for empties. And that's a very clear policy, and it's nothing new. It's been done throughout the years, not just COVID years. They would contact our equipment department and say, Hey, we cannot return because so and so says they can't accept empties. And our equipment department would review. Sometimes we're in copy, so we do see that conversation with the client. And they indicate where to return it. And if that cannot be returned, then they file proper waivers.

Id. at RX32.

Q. So -- Okay. So specifically for demurrage, what -- what is the -- is there a written policy that a customer can review to determine what is -- what Yang Ming -- how Yang Ming determines whether to waive a demurrage charge? A. Yes. For demurrage, which is at the port, for example, if the container is not available to pick up because it's buried, the free time does not start until it's available. So if a trucker or a client contacts us and says, Hey, it -- it says that the container is not available because it's under a pile of containers that cannot be retrieved right now, so the demurrage -- there won't be a demurrage actually. There would be a free time extension until the freight is available -- the container is available off of that pile and it's available for the trucker to make an appointment and to go pick it up. So once the available container is available, off that pile, the clock starts. So it's not going to be any period of time when -- a discharge to the time that it was buried. There is no demurrage. So that's what we would waive.

Q. Okay.

A. That's one of the examples.

Q. So --

A. Another example would be if the trucker contacts the terminal -- Because we don't have visibility of appointments. If the trucker contacts the terminal and they cannot find an appointment within the free time, they contact us. This is part of our daily troubleshooting. We check with the terminal to make sure that no appointments are available. And then once it's confirmed, the -- there is a waiver and the free time is extended until there is an appointment where they can make that appointment and go pick up. So these are just examples of cases where it's part of our daily customer service troubleshooting. Okay. So those are daily things that we -- but the con- -- they -- we have to be contacted. There should be a communication from the client or from the trucker's client explaining what they're experiencing. And we verify those -- information. And then based on that, we do waive it. So we do have daily troubleshooting if there is a contact from the client.

Q. Is there a -- Is there a written policy that a customer can review to, you know, essentially -- essentially know who to contact, when to contact them, what proof they need to show? Is there anything in the service agreements between the customer and Yang Ming --

A. Truckers -- Truckers know all these. This is not -- nothing new. I mean, this has been done pre-COVID. This has been done for 20 years, 30 years. It's nothing new, this policy. Because anytime there is such an event or a

terminal error or a terminal issue, then we review, we troubleshoot. But we've got to know about it because we're not at the terminal, we're not with the trucker. The trucker and the terminal have to have that open communication with us for us to review on a daily basis on -- on the spot, not days later or years later. They've got to -- We take care of them. That's part of our customer service troubleshooting.

Id. at RX32-33.

A. It was a unique time, but we still handled every inquiry. As a matter of fact, all of our employees worked during COVID. Even if they had COVID, they still worked from home. We were considered essential, you know, in -- industry by the Government. We did work even during COVID. So if somebody at the terminal did not go to -- to work -- However, our employees all worked. And we did answer every e-mail. We worked on e-mail on premises.

Id. at RX33-34.

A. . . . So in those cases we are notified, but the client has to contact us so we can troubleshoot that and make note of it immediately and extend the free time until the -- the terminal has appointment and they can make that appointment so they can pull that container. So it's very dependent on what the terminal can process. And, again, the client has to contact us immediately and -- for us to be able to troubleshoot because we're customer service and we're -- need to handle daily requests, daily troubleshooting . . . And since we don't have this ability of the appointments, when the client contacts us, we contact the terminal and verify that there are no appointments and the waiver is put. What it is -- It's not a waiver. What we do is we extend the free time. We give them more days for them to pick up without assessing any demurrage charges.

Q. What about when the drivers have to -- waiting in line, essentially, you know, they can't get into port? Is that another instance when Yang Ming would waive a charge?

A. If we don't have proof that they were at the terminal -- Because terminals will let us know if they had that trucker and they didn't service that trucker. The trucker would contact us, provide proof. Because every terminal has a trouble ticket booth at the opening of the terminal. And if they have an issue, they would go there. And we are contacted when there's trouble. And if the -- the terminal has not been able to service that trucker, then we do extend the free time.

Id. at RX35.

Q. My question, Ms. Anki, is: If a trucker is in line at the port or at the terminal but they're unable to get in for various reasons, one of them being the port congestion, how are they able to show proof that they weren't able to get in on their last free day? What -- What -- What would that proof entail if they were never -- weren't able to get in?

A. Okay. First, they have to have an appointment if that's --

Q. Right.

A. -- where they're going in line.

Q. Right.

A. Second, if they're having trouble, then they go to the ticket booth, where the trouble ticket booth is, and they get a trouble ticket so the terminal knows about it. Okay? And based on what they see, the terminals see, with those trouble tickets, if it's -- Because there's a long line, we've seen a lot of the terminals extend the free time, I mean, the -- the hours of operation, extend it by another hour, half an hour. We've seen that multiple times. But it is the decision of the terminal based on the trouble tickets that we receive and what they see is going on in their terminal. They control and manage that. Okay? So if that is the case and they have a trouble ticket, they send it to us. We go back to the terminal and ask them, Are you handling this, Are you helping this. And the terminal will -- will say, It's an issue, We're extending the time, We're going to be opening -- keeping the gate a little bit longer, or We're going to allow the trucker to come the next day to pick up without an appointment. They make those kind of judgment calls and those -- free time is extended. However, we have to have proof that they were there. A trucker who never went into the line, never went to the trouble ticket cannot claim that they were in -- in line and for the terminal to help them.

Q. So can you --

A. The terminal has -- Excuse me. The terminal and us, we need to know what they're experiencing and what the issue is. And we go to the terminal. This is -- as I mentioned, is our daily routine. This is what all of our staff are trained to do, troubleshoot. We go -- We take the facts that the trucker gave us. We go to the terminal and find out what the situation is and what they're going to do. And based on that an extension of free time is given. And sometimes, as I mentioned, the terminal will even waive having an appointment the next day and handle the priority, that trucker as priority. So it's case by case. We need to hear about it. We need to know about it so we can assist the client, so we keep the fluidity. Because at the end we're trying to get containers moving because there's another vessel that may be coming.

It is not to our benefit or the terminal's benefit to hold onto containers and not allow or make it difficult for the containers to be outgating and picking up. That's how we keep the supply chain moving.

Id. at RX36.

Q. . . . I know we talked about Yang Ming has essentially a verbal policy that's been the standard for years about how to dispute these charges. But I just want to clarify that whether -- in the relevant period whether there -- In addition to that general policy, were there any other policies implemented during this time as a result of the pandemic, port congestions, equipment shortages, all of the above?

A. Okay. You mentioned that these are dispute. We discussed the troubleshooting that we do on a daily basis to waive demurrage. We did not discuss what the dispute process, that is, our procedure or -- is in the books or policy for years. A client can still dispute an invoice after they pay, and those charges still are reviewed.

Q. And how -- how is that different then? We talked about troubleshooting and --

A. The troubleshooting is -- It's every day I --I am helping customer resolve the situation, resolve the problem, take care of them so the containers are moving out. Okay? So if a client feels they want to dispute, they have -- you know, they have the right to do so. They can come and dispute, and that's reviewed.

Q. And how do -- what's -- what's the policy for disputing a charge? Does Yang Ming have a policy for disputing a charge, demurrage charge, for example?

A. Yeah. A client can dispute, but it's all reviewed. The facts have to be -- you know, backup provided. There's -- You know, all that is done, and as necessary, actions are taken accordingly.

Q. And --

A. And deliver all the backup, or necessary proof must be given to them.

Q. Is there a method to dispute a charge? How would a client dispute a charge? What would be the steps that they need to do?

A. They contact their salespeople. They can contact customer service, and they can do all that.

Id. at RX37.

Q. But there's no website or any particular -- any particular e-mail that solely focuses on disputes, a link to, you know, file a dispute? It's more you have to reach out to Yang Ming generally? Is that what it is or --

A. During -- During -- During COVID that was the process. Right now there is a link, there is instructions on the web site.

Q. Got it.

A. You know, we have a lot of that. However, during COVID the process was the same as what was pre-COVID, which was the client has the right to dispute. And usually because we are customer service, they -- they are in communication with us all the time. So we would be the ones receiving it. The other avenue is sales. If they feel like they want to go to sales, you know, they have the right to do that. It's -- It's done. But we communicate with them. They know us on a daily basis. We're working with them. So they each reach out to us. And, you know, it's always, you know, welcomed by customer service to have that. We're here to hear the concerns.

Id. at RX38.

Q. Lastly -- and this is my last question -- do you know whether customers were offered alternative solutions in order to reduce their exposure to demurrage and detention charges? And, for example -- the few examples I can gave you are, you know, temporary storage, extending the free day period. Would -- Would those be things that Yang Ming would do during the relevant time period?

A. Like we discussed, if there were daily double -- troubleshooting cases where it qualified, it was errors of the terminal, operation issues, those free times were extended automatically, as it's our procedure. It -- It does not matter if it was during the pandemic or not. It's our procedure. We did that before, and we still do it even after. So it -- you know, as far as detention, per diem, I know many times outside locations, outside -- empty lots were available for clients. If they could not return it to the terminal, they could return it to those yards. And so those were alternatives then offered. Again, the client has to contact -- the trucker has to contact equipment and say, I am not able to return it because the terminal may not accept it or for some reason, I have the empty, but I'm ready to return it. So alternative location was provided. If they don't contact, they would not know where to return it. So that is a requirement that a trucker or an accountant must do.

Id. at RX39.

10. Complainant thus improperly relies on the purported expert opinion of John McCown which:

admittedly declines to consider the actual demurrage and detention (“D&D”) invoices and charges at issue produced in detail by YMMT and the complete lack of evidence from the Complainant as to how, if at all, Complainant was prevented from complying with its equipment interchange obligations. Rather, he engages in a convenient “macro” analysis of his own invention in an effort to identify in YMMT’s aggregated financial data purported historical over or under performance so as to indicate some sort of nefarious scheme to overcharge for D&D in a manner which was purportedly excessive by industry standards. But his approach is so overbroad and lacking in any reasonable effort to tailor the focus to the particular circumstances involved in this dispute as to be misleading at worst, and practically worthless at best. When the specific charges at hand are properly assessed, the record confirms that no proof whatsoever of any fault on the part of YMMT has been adduced and simply nothing untoward occurred here.

Additionally, apparently based on nothing more than his “hands on experience,” Mr. McCown seems to adopt conclusions of law which are at odds with those of the FMC, the courts, and the common understandings of maritime actors. He challenges Yang Ming’s standard D&D rates as excessive relative to cost and world-wide industry averages, while YMMT’s D&D rates were, in fact, comparable to competitors in the US market. We must also be mindful that these rates were agreed by the parties as a matter of contract, are in accordance with the published tariff, relate directly to expenses in the concerned trades, and assist the incentive principle in increasing supply chain fluidity.

(Vogt Report, RX53-78; McCown Report, CX 280-324).

11. Yang Ming’s expert thus concluded:

In summary, therefore, I believe Mr. McCown’s conclusions are based on faulty assumptions and flawed reasoning. No “excessive” accessorial charges were, in fact, assessed by YMMT, and Complainant’s claim has been padded by not-“inconsequential” charges from third-party intermediaries. And, in the absence of any evidence to meet its burden of proving that the D&D charges were invalid, Complainant attempts through the sorry expedient of this “expert” opinion to establish a violation based on nothing more than a statistical analysis. I’m not convinced such an approach should ever suffice with respect to an inquiry into the propriety of such D&D charges under the Shipping Act.

But, even assuming *arguendo* a statistical analysis might inform a decision in this kind of case, simplistic, over-broad, non-narrowly-tailored, industry-wide earnings comparisons are demonstrably inadequate. World-wide industry statistical analysis is a wrongheaded approach, when industry statistics in the United States shipping market in which the Complainant actually participated as a sophisticated shipper are available and directly contradict it. When the data is parsed, and the types of D&D charges at issue are compared to similarly situated carriers with respect to similarly situated trades, any alleged disparity with respect to YMMT vanishes and the claim remains wholly empty.

(Vogt Report, RX53-78).

12. Indeed, such a conclusion is now further bolstered by the subsequent disclosure that Complainant has not just brought an FMC claim against Yang Ming, but also at least five other carriers. (Assignment, CX 8). The fact that Complainant has asserted such Shipping Act violations against apparently every other carrier it used surely belies any suggestion that Yang Ming's practices were somehow at odds with others in these trades. Id.

ARGUMENT

INTRODUCTION.

As stated above, Complainant asserts that Yang Ming violated 46 U.S.C. § 41102(c) and 46 U.S.C. § 41104(a)(10) in connection with demurrage, detention, per diem, and yard storage charges (“D&D”) paid to Laufer and purportedly passed on to Yang Ming.¹ See, generally, Complainant’s Brief.

¹ Under the “direct purchaser rule” only the party which actually paid the carrier or holds a valid assignment from the party which can sue for reparations; indirect purchasers further down the chain have no such claim on a pass-on basis or otherwise. See, In re Vehicle Carrier Services, 1 F.M.C.2d 440, 454, 2019 WL 5558120 (F.M.C. 2019) (“[T]he Commission has repeatedly found that a Claimant cannot rely on a pass-on theory to recover reparations for overcharges.”); see also, Illinois Brick v. Illinois, 431 U.S. 720 (1977).

And assignments may be barred by contract and thus rendered invalid. Bank Brussels Lambert v. Credit Lyonnais (Suisse) S.A., No. 93 Civ. 6876, 2000 WL 1876915 (S.D.N.Y. Dec. 22, 2000) (“Lyonais has not shown that J. Aron Company consented in writing to the assignment of the contract, so that, under *Pravin*, any oral consent would be void.”) (citing Pravin Banker Assocs. Ltd. v. Banco Popular del Peru, 109 F.3d 850, 856 (2d Cir.1997) (enforcing provision expressly stating that “any assignment shall be void or invalid if not made in a certain specified way.”)).

Moreover, assignments occurring outside the applicable statute of limitation may be deemed time-barred. See, generally, Grain Traders, Inc. v. Citibank, N.A., 160 F.3d 97 (2d Cir. 1998) (assignment untimely). And “[a] complaint seeking reparation must be filed within three years after the claim accrues. Notification to the Commission that a complaint may or will be filed for the recovery of reparations will not constitute a filing within the applicable statutory period.” 46 C.F.R. § 502.62(a)(4)(iii); see also, 46 U.S.C. § 41301(a) (“If the complaint is filed within 3 years after the claim accrues, the complainant may seek reparations for an injury to the complainant caused by the violation.”).

“The Commission has long treated its statute of limitations as jurisdictional. This is in tension with the general rule that statutes of limitations are not jurisdictional and typically may be equitably tolled.” In re: Vehicle Carrier Serv’s, Docket Nos. 16-01, 16-07, 16-10, and 16-11, 2019 WL 5558120, *23 n.18 (F.M.C. Oct. 21, 2019) (citing W. Overseas Trade & Dev. Corp. v. ANERA, 26 S.R.R. 874, 885 (FMC 1993) (“The Commission has consistently held that [the] statute of limitation contained in section 22 of the Shipping Act, 1916 (‘1916 Act’) is jurisdictional and cannot be waived.”); Aleutian Homes, Inc. v. Coastwise Line, 5 F.M.B. 602, 604 (FMB 1959) (“Implicit in complaint’s argument is the assumption that the parties may agree to waive or postpone the running of the statute. This cannot be done since the expiration of the time limit not

But to prevail in a proceeding to enforce the Shipping Act, a complainant bears the burden of proving its allegations by a preponderance of the evidence. 5 U.S.C. § 556(d); 46 C.F.R. §§ 502.203; Maier Terminals, LLC v. Port Auth. of N.Y. & N.J., Docket No. 08-03, 2014 WL 9966245, at *14 (F.M.C. Dec. 17, 2014). Under the preponderance standard, a complainant must show that their allegations are more probable than not. Crocus Investments, LLC v. Marine Transport Logistics, Inc., Docket No. 15-04, 2021 WL 3732849, at *3-4 (F.M.C. Aug. 18, 2021) (Order Affirming Initial Decision on Remand).

Such findings may not be drawn from mere speculation. Waterman Steamship Corp. v. General Foundries Inc., Docket No. 93-15, 26 S.R.R. 1173, 1180 (ALJ Dec. 9, 1993), adopted in relevant part, 26 S.R.R. 1424, 1994 WL 279898 (F.M.C. June 13, 1994).

As discussed below, Complainant has completely failed to present any specific evidence to support its allegations of wrongdoing with regard to the D&D charges at issue. Complainant has thus not met its burden of proof, and each of its claims is plainly without merit on both the facts and the law.²

only bars the remedy but also extinguishes the right, thereby nullifying the jurisdiction of the Board over the claims.”) (internal citations omitted)).

In the case at hand, Complainant was admittedly not a “direct purchaser” and has failed to establish the assignment from Laufer was authorized by Yang Ming in writing. (Hallet Deposition, RX 20; Service Contract, RX1).

In addition, the Service Contract and the charges Complainant claims started accruing in January of 2021, more than three years prior to the execution of the assignment from Laufer. (Complaint, CX15; Service Contract, RX1, Assignment, CX8-12).

So the claim should be deemed invalid and dismissed in whole or in part on these bases, as well.

² As far as the record indicates, Complainant should also be barred from bringing this claim under the bankruptcy law. Among their assets and liabilities, debtors must declare “any litigation likely to arise in a nonbankruptcy context.” 11 U.S.C. § 521; Krystal Cadillac-Oldsmobile GMC

POINT I. COMPLAINANT’S CLAIM FALLS OUTSIDE FEDERAL MARITIME COMMISSION JURISDICTION.

As best as can be determined from the record, Complainant seeks damages for D&D (paid to its NVOCC, Laufer, and purportedly passed on to Yang Ming), due to alleged delays resulting from chassis unavailability at the Illinois rail terminus. (E-Mails, CX102-76). However, while Complainant’s alleged predecessors-in-interest contracted with Laufer for through carriage, Laufer only contracted with Yang Ming for “CY/CY” port-to-port carriage. See, Sample Yang Ming Sea Waybills, CX202-05; see also, Service Contract, RX7 (“Carrier shall not be obligated to provide chassis for shipments designated for Port or Container Yard (CY) delivery. Shipper must secure an appropriate chassis at its own expense prior to receiving containers (empty or loaded) at the Port or Container Yard (CY).”). Yang Ming has confirmed that, whatever Laufer may have billed to its customers, Yang Ming did not charge for rail terminal D&D, accordingly. (Anki Deposition, RX27-29).

A carrier which issued a port-to-port bill of lading, covering only the ocean leg of a cargo movement, should face no liability for losses caused by events occurring after discharge from the vessel. See, Insurance Co. of N. Am. v. S/S American Argosy, 732 F.2d 299 (2d Cir. 1984) (holding vessel which carried cargo from New York to Rotterdam could not be liable, pursuant to NVOCC's through bill of lading for transport from New York to Yemen, for subsequent damage occurring during on-carriage by a different carrier); Suzlon Wind Energy Corp. v. Shippers Stevedoring Co.,

Truck, Inc. v. GMC, 337 F.3d 314, 322 (3d Cir.2003). Failure to disclose such assets in a bankruptcy case should result in an estoppel. See, e.g., Payless Wholesale Distributors, Inc. v. Alberto Culver (P.R.) Inc., 989 F.2d 570, 571 (1st Cir. 1993); Oneida Motor Freight, Inc. v. United Jersey Bank, 848 F.2d 414, 415 (3d Cir. 1988). No FMC claims were disclosed among any of the Complainant’s schedules, upon which the bankruptcy court’s order allowing the sale were founded. (Hallet Deposition, RX23-24; 24 bk 11054, Docket Entry Nos. 156, 159, 160, 161, 164, 165, 173, 222).

No. H-07 Civ. 155, 2008 WL 686206, *13, 2008 U.S. Dist. LEXIS 17945 (S.D. Tex. Mar. 7, 2008) (“Shippers, Fitzley, and ATS contend that ‘it is possible that in-land transportation to some location in Houston was agreed’ and that the bill of lading was a through bill of lading that covered combined transport. This argument is not persuasive . . . Shippers and ATS have not shown how any additional discovery as to the terms for Nacelle’s shipment, the parties’ intent as to shipment, or the existence of other bills of lading is relevant . . . The record shows that bill of lading HF 126BMHO-058 was an ocean or port-to-port bill of lading.”) (citations omitted); Vesta Forsikring v. Mediterranean Shipping Co., SA, No. H-00 Civ. 1938, 2001 WL 1660255, 2001 A.M.C. 2594, 2599 (S.D. Tex. Aug. 10, 2001) (“Plaintiff apparently argues that because Mediterranean issued a ‘through’ bill of lading, Mediterranean remains liable even after it has discharged its cargo to an inland carrier . . . However, to the extent *Mannesman* so held, it merely enforced contractual terms, an unremarkable proposition that does not help the Plaintiff here as the bill of lading clearly disavows any liability.”); Volvo Transp. Corp. v. M/V Concert Express, No. 89 Civ. 4245, 1990 WL 274635, 1991 A.M.C. 535, 540-41 (D.N.J. Aug. 15, 1990) (“[T]he carriage here is defined as a transshipment, and it is not contested that Navieras de Puerto Rico and its ship the *Atlantic Express* provided onshipment to Puerto Rico . . . Volvo's attempts to paint Wallenius as a common carrier or a freight forwarder and thus to saddle it with responsibility for the entire carriage are unavailing.”); CIA. Int’l v. Barber Lines, No. 85 Civ. 501, 1988 WL 161308, 1989 A.M.C. 824, 825 (S.D. Fla. Jul. 27, 1988) (“Barber's bill of lading was a transshipment, or port to port, bill. This is because the 'Port of Loading' and Port of Discharge form Vessel' and 'For Transshipment to' boxes are filled in and the 'Combined Transport Precarriage from' and 'Combined Transport-Onward Carriage' boxes are not filled in. Pursuant to the bill's terms Barber could and did limit its responsibility for loss or damage to the cargo shipped under a transshipment bill to the period when Barber had actual custody over the goods ”); Outboard Marine Int’l, S.A. v.

S.S. American Lancer, No. 74 Civ. 3481, 1976 WL 351733, 1976 A.M.C. 1839, 1841 (S.D.N.Y. Jun. 7, 1976) (“USL is exonerated from any liability due to loss while the container was under the control of either Smith U.S. or Smith Canada pursuant to the following language in the bill of lading . . . “); see also, Lamex Agrifoods, Inc. v. MSC Mediterranean Shipping Co., S.A., No. 16 Civ. 8462, 2017 WL 4803923, 2017 U.S. Dist. LEXIS 175211, *5, 2017 A.M.C. 2780 (S.D.N.Y. suntrustOct. 23, 2017) (“Given the clear language of the bill of lading, Lamex fails to state a claim for damages arising out of the failure of the refrigerator while in the possession of Lamex’s trucker.”); Alpine Fresh, Inc. v. M/V Cap Itaim, No. 10 Civ. 8279, 2011 WL 4831195, 2011 A.M.C. 2594, 2597 (S.D.N.Y. Oct. 12, 2011) (“Even if [the ocean carrier] arranged for the truckers responsible for damaging Alpine’s mangoes, as Alpine alleges, the bill of lading effectively limited [the ocean carrier’s] liability to the period on board the vessel.”); J.R.J. Enter’s, Inc. v. M/V CCNI Cartagena, No. 08 Civ. 3473, 2010 WL 5538516, 2011 A.M.C. 879, 885 (S.D.N.Y. Dec. 29, 2010) (“[T]he Bill of Lading makes clear that Defendants were not responsible for maintaining the container’s temperature once the container left the ship.”); The Banana Connection, Inc. v. M/V Maersk San Juan, No. 04 Civ. 9203, 2006 WL 1379104, 2006 U.S. Dist. LEXIS 30612, 2006 A.M.C. 1408 (S.D.N.Y. May 18, 2006) (carrier is not liable “for damage that occurs after delivery has been accomplished.”); T.J. Schoenbaum, Admiralty and Maritime Law § 10-11 (4th ed., Thomson-West 2004) (“The Responsibility for Conveyance Clause . . . specifies where the carrier’s responsibility shall commence and where it shall terminate and recites that loss or damage occurring before or after that time is not compensable.”).

And broadly speaking, the Federal Maritime Commission (“FMC”) enjoys oversight over carriers involved in international ocean carriage but lacks jurisdiction over domestic carriage. See, generally, DHX, Inc. v. Surface Transp. Bd., 501 F.3d 1080 (9th Cir. 2007); see also, American

Home Assuance v. A.P. Moller-Maersk, 13 F. Supp. 2d 277, 285 (S.D.N.Y. 2014) (citing Kawasaki Kisen Kaisha Ltd. v. Regal-Beloit Corp., 561 U.S 89, 110, 130 S. Ct. 2433, 177 L. Ed. 2d 424 (2010)).

This distinction between “through” and “port-to-port” transport and its effect on jurisdiction has been repeatedly emphasized by the FMC. As indistinguishably discussed in the preamble to the Final Rule on Demurrage and Detention Billing Requirements, 46 C.F.R. § 541, 89 F.R. 14330-01, 2024 WL 756683 (F.M.C. Feb. 26, 2024), “presumably the FMC’s jurisdiction, and thus this rule, would apply only to cargo moved inland under a through bill of lading and contracts between a VOCC. A motor carrier not based on a through bill of lading would likely be outside the scope of this rule.” 89 F.R. at 14336.

In the subsequent Correction, it was again afforded central significance:

The Commission's explanation in the preamble was intended to further explain that the rule only addresses carrier-trucker relationships on through bills of lading. The Commission meant this to be understood in the context of its statement that “the FMC's jurisdiction, and thus this rule, would apply only to cargo moved inland under a through bill of lading and contracts between a VOCC [and] a motor carrier not based on a through bill of lading would likely be outside the scope of this rule.”

Demurrage and Detention Billing Requirements; Correction, 46 C.F.R. § 541, 89 F.R. 39560-01, 2024 WL 2053368 (F.M.C. May 9, 2024).

In light of the above, had Complainant opted to pursue its NVOCC, Laufer, under Laufer’s through bills of lading, perhaps the situation might have been different. But, as the complaints at issue all concern trucking equipment interchange at the rail yard long after delivery under Yang Ming’s port-to-port Sea Waybills at the coast, FMC jurisdiction would appear to be absent, and the case should be dismissed.

POINT II. COMPLAINANT HAS FAILED TO ESTABLISH ANY UNJUST AND UNREASONABLE PRACTICES WITH RESPECT TO CARGO HANDLING AND DELIVERY PURSUANT TO 46 U.S.C. § 41102(c).

Section 41102(c) of Title 46 provides that “[a] common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” To establish a claim for reparations under § 41102(c), a complainant must prove that:

- (a) The respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;
- (b) The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis;
- (c) The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property;
- (d) The practice or regulation is unjust or unreasonable; and
- (e) The practice or regulation is the proximate cause of the claimed loss.

46 C.F.R. § 545.4; see also, Final Rule: Interpretive Rule, Shipping Act of 1984, 83 Fed. Reg. 64478 (Dec. 17, 2018); Notice of Proposed Rulemaking: Interpretive Rule, Shipping Act of 1984, 83 Fed. Reg. 45367 (Sept. 7, 2018).

No violation based on the assessment of D&D charges should be found by broad strokes; specific factual support for each violation must be presented. Evergreen Shipping Agency (Am.) Corp. v. Federal Maritime Commission, 106 F.4th 1113, 1118 (D.D.C. 2024) (“It was arbitrary and capricious for the FMC to commit to making a circumstantial, fact-bound inquiry in the interpretive rule and then, when it came time to apply the rule, to jettison all but its favorite factor.”). The proponent of the proposition that a practice is unreasonable “bears the burden of

proving that proposition, including the burden of producing evidence adequate to persuade the Commission. Respondent is not required to show that the practice is reasonable.” All Marine Moorings, Inc. v. ITO Corp. of Baltimore, Docket No. 94-10, 1996 WL 264720, at *13 (FMC May 15, 1996); see also, Seacon Terminals, Inc. v. Port of Seattle, Docket No. 90-16, 26 S.R.R. 886, 898 (FMC Apr. 14, 1993). “The Commission has also emphasized the degree to which assessments of reasonableness turn on the facts of the case at hand.” MSRF, INC. v. HMM Co., Docket No. 22-20, 2023 WL 8242695, *22 (F.M.C. Nov. 22, 2023) (“MSRF has not carried its burden of producing evidence adequate to persuade that HMM has engaged in a practice that is unjust or unreasonable. Therefore, MSRF's claim under Section 41102(c) is denied.”).

Complainant argues Yang Ming ran afoul of Section 41102(c) by charging D&D for periods when equipment interchange was not possible due to vessel and/or terminal conditions beyond the control of the shipper in violation of the “incentive principle” adopted by the FMC’s Interpretive Rule on Demurrage and Detention Under the Shipping Act. 46 C.F.R. § 545. Aside from broad, conclusory assertions based on citations to its own Proposed Findings of Fact, which, in turn, cite only to Complainant’s own Complaint (which Yang Ming Denied), Complainant points to: A) e-mails touching upon chassis availability; B) Yang Ming’s alleged failure to produce bills of lading, as opposed to sea waybills, and documentation of disputes; C) the sufficiency of Yang Ming’s billing and conflict resolution; D) Complainant’s expert report opining that Yang Ming charged more D&D than its peers during the two years at issue; and E) Complainant’s damages spreadsheet. See, Complainant’s Brief, at IV(A). Each is addressed, seriatim, below.

A. E-MAILS.

To be exact, precisely eight e-mails have been uncovered, beginning on February 21, 2021 and ending on May 26, 2022. (E-mails, CX102-176). Of these, two pre-date the Assignment enabling the claim by more than three years and thus cannot form the basis of a Shipping Act violation. See, E-mails, CX102-176; Assignment, CX8; see also, Footnote 1 supra. And only three even included Yang Ming, and then only in copy. (E-mails, CX102-176). All involved alleged chassis shortages at the Illinois railhead, for which Yang Ming did not assess D&D, as an uncontroverted fact of record. (E-mails, CX102-176; Anki Deposition, RX27-29; Service Contract, RX7). Moreover, simply no evidence has been presented linking any of these e-mails to a charge at issue in this claim. Id. No evidence has been presented concerning the specific cause of the unavailability and whether it was due to an issue arising with a party for which Yang Ming would bear no responsibility. Id. And, fundamentally, there is no proof in the form of screenshots, terminal communications, or otherwise to back up any allegation as to any particular charge. Id.; see also, TPG Pressure, Inc. v. Omni Logistics, Docket No. 22-31, 2024 WL 4226354, *32 (F.M.C. Sep. 12, 2024) (“There is no document that is part of the typical shipping process that would indicate whether cargo was not delivered because the client was not ready for delivery or for some other reason. TPG has not provided evidence that delays in picking up containers were the fault of Respondents and such fault will not be presumed merely from the existence of demurrage charges.”).

Even assuming arguendo these three e-mails could somehow be deemed valid evidence of a lack of chassis availability for which the shipper or its truckers were not responsible, and assuming arguendo still further it could be linked to any specific charge paid on to Yang Ming, under Subpart (b), “[t]he essence of a practice is uniformity. It is something habitually performed

and implies continuity . . . the usual course of conduct. It is not an occasional transaction.” Crocus Investments, LLC v. Marine Transport Logistics, Inc., No. 15-04, 2021 WL 3732849, *9 (F.M.C. Aug. 18, 2021) (quoting Investigation of Certain Practices of Stockton Elevators, 8 F.M.C. 178, 201 (FMC 1964)); see also, Carew v. Maersk Line A/S, Docket No. 20-17, 2021 WL 5195751 (F.M.C. 2021) (four instances insufficient); Huangzhou Qianwang Dress Co. v. RDD Freight Int’l Inc., No. 17-02, 2020 WL 5406762, **4-5 (F.M.C. Sep. 1, 2020) (“Complainant contended that releasing three shipments that were transported on three different vessels on three separate occasions without the original bills of lading or its permission was sufficient to satisfy the normal, customary, and continuous element . . . The ALJ correctly found that the conduct here did not satisfy the ‘normal, customary and continuous’ element of § 41102(c).”); id. at *5 (“The absence of evidence that Respondent unreasonably released the shipments of other shippers is also significant.”) (citing 83 Fed. Reg. at 64479 (noting that the Commission’s interpretation of § 41102(c) in the Final Rule “returns the Commission’s focus and priorities to the activities of maritime regulated entities that negatively affect the broader shipping public”); Whitam v. Chicago, R.I. & P.R. Co., 66 F. Supp. 1014, 1017 (N.D. Tex. 1946) (finding significant, in interpreting the term “practice,” that plaintiff alleged “an individual matter between himself and the defendants”)). The notion that three vague e-mails over the two-year period of COVID-19 supply-chain disruptions might demonstrate a uniform and continuous practice not only strains credulity but is contrary to settled law.

B. DISCOVERY.

As far as discovery is concerned, Complainant's argument is similarly empty. First of all, no motion to compel discovery was ever brought. See, generally, Docket Entries, FMC Case no 24-10. And allegations of discovery failures brought before a court only at the summary judgment or trial phases of a litigation should be rejected as untimely. See, e.g., Walker v. District of Columbia, 279 F. Supp. 246, 261 (D.D.C. 2017) ("In light of the record in this case, the Court finds that Plaintiff has waived any argument related to the insufficiency of the District's discovery responses because she repeatedly failed to raise this issue when she was before this Court, instead waiting to raise it in her opposition to the pending Motion."); see also, Initial Order dated February 29, 2024, Docket No. 6 ("A motion to compel should only be filed after good faith efforts between the parties to resolve the dispute. The motion to compel should be filed as soon as practicable.").

"An aggrieved party is expected to seek judicial intervention in a timely manner." Lobato v. Ford, No. 05 Civ. 01437, 2007 WL 3342598, *7 (D. Col. 2007) (citing Ginett v. Federal Express, 1998 WL 777998, *5 (6th Cir.1998) (affirming trial court's denial of motion to compel filed some two months after the discovery cut-off, because plaintiff knew of the document at issue long before the discovery deadline and failed to file a motion at that time); Continental Industries, Inc. v. Integrated Logistics Solutions, LLC, 211 F.R.D. 442, 444 (N.D. Okl. 2002) (held that failure to pursue discovery remedies in a timely manner may result in waiver of discovery violations; noted that it was "especially important that a party file its motion [to compel] before the discovery cutoff"); Suntrust Bank v. Blue Water Fiber, L.P., 210 F.R.D. 196, 199 (E.D. Mich. 2002) (holding that a court may properly deny a motion to compel discovery where the motion to compel was filed after the close of discovery); Intercargo Insurance Co. v. Burlington Northern Santa Fe Railroad, 185 F.Supp.2d 1103, 1107 (C.D. Cal. 2001) (defendants waived their right to compel

more adequate expert disclosures by failing to move within a reasonable period of time after service of the expert reports; court denied motion to strike disclosures); Butler v. Benson, 193 F.R.D. 664, 666 (D. Colo. 2000) (held that a party cannot ignore available discovery remedies and then move to compel on the eve of trial)).

“Rule 37 does not expressly state a time limitation upon which a party must file a motion for sanctions; however, an unreasonable delay will generally result in a waiver of the motion.” United States v. Stinson, No. 6:14-cv-1534-Orl-22TBS, 2016 WL 8488241, at *5 (M.D. Fla. Nov. 22, 2016) (citing Brandt v. Vulcan, Inc., 30 F.3d 752, 756 (7th Cir. 1994)); see also, Schumann v. Collier Anesthesia, P.A., No. 12 Civ. 347, 2017 WL 1323723, *5 (M.D. Fla. 2017) ([“T]he Court finds that Wolford’s present motion for sanctions is untimely.”) (citing Coleman v. Starbucks, No. 6:14-cv-527-Orl-22TBS, 2015 WL 2449585, at *8 (M.D. Fla. May 22, 2015) (“While there is no local or federal rule setting a precise deadline for the filing of a motion to compel, it is clear that any such motion must be filed within a ‘reasonable’ time period.”) (citing Hoai Thanh v. Hien T. Ngo, Civ. No. PJM 11-1992, 2013 WL 1976009, at *2 (D. Md. May 10, 2013))); Wane v. Loan Corp., 926 F. Supp. 2d 1312, 1319 (M.D. Fla. 2013) (denying Rule 37 sanctions of striking the affidavit partly because the plaintiffs did not file a motion to compel when they realized the information was missing).

But, in any event, Yang Ming cannot produce what does not exist. Bramhall v. Delsandro, No. 22 Civ. 01328, 2024 WL 3624907, *3 (W.D. Pa. Aug. 1, 2024) (“When discovery requests seek material that does not exist, there is nothing to compel.”) (internal quotation marks omitted); Domingo v. Deputy Christopher Operation Safe Jail (O.S.J.), No. 18 Civ. 03227, 2021 WL 6104164, *4 (S.D. Cal. Sep. 15, 2021) (“[T]his Court has no authority to order a party to create discovery that does not exist.”); Sidman v. Concord Arena Parking, LLC, No. 15 Civ. 7426, 2021

WL 1940255, *3 (E.D.N.Y. May 11, 2021) (“When parties assert that they have produced all responsive documents . . . and the adversary believes the production is incomplete, the remedy is not to pound the table and ask the Court to order additional production. A court cannot order a party to produce that which does not exist.”); Prosonic Corp. v. Baker, No. 07 Civ. 442, 2008 WL 11340070, *4 (N.D. Fla. Mar. 13, 2008) (“The court cannot compel Prosonic to produce something that does not exist.”).

Yang Ming responded in full and at massive volume for Laufer files. (Supplemental Discovery Response dated July 18, 2024, RX40; Supplemental Discovery Response dated August 8, 2024, RX42; Second Supplemental Discovery Response dated August 8, 2019, RX44; Supplemental Discovery Response dated August 13, 2024, RX48; Supplemental Discovery Response dated August 19, 2024, RX49; Second Supplemental Response dated August 19, 2024, RX 50).

After combing through and producing an enormous quantity of Laufer-related documents, Yang Ming has repeatedly affirmed under oath and otherwise that no “master” bills of lading were issued, because sea waybills were. See id. at RX51-52; see also, Service Contract, RX10 (“A ‘Bill of Lading’ shall mean a negotiable bill of lading *or* seaway bill of lading.”) (emphasis added); Sea Waybill Terms, RX16 (“‘Bill’ means *either* (A) bill of lading, if this document is issued as a bill of lading, *or* (B) sea waybill, if this document is issued as a sea waybill.”) (emphasis added); Hallett Deposition, RX18-19 (“A. I cannot designate the difference between the two as far as what we're talking about. To me, I would reference a house bill of lading or a seaway bill. Q. Okay. So, what's a house bill of lading in your mind? A. In my mind, it's the same as a seaway bill.”); Anki Deposition, RX20 (“Q. Got it. Do you know what a sea waybill is? And if you do, can you, again,

give it a very quick summary of what it is. A. A sea waybill is -- has no hard copies. It's not negotiable.”).

The lack of bills of lading when sea waybills are issued instead not only accords with the parties’ contractual undertakings and testimony as stated above, but with now settled law and common practice. See, Royal & Sun Alliance Ins., PLC v. Ocean World Lines, Inc., 612 F.3d 138, 141 n.5 (2d Cir. 2010) (“A sea waybill is like a bill of lading, except that bills of lading are negotiable while waybills are not.”) ; HDI Global Ins. Co. v. Kuehne + Nagel, Inc., No. 23 Civ. 6351, 2024 WL 4188345, *1 n. 1 (S.D.N.Y. Sep. 13, 2024) (“[T]he Court analyzes the Sea Waybills as equivalent to bills of lading.”); Delphi-Delco Elec. Sys. v. M/V Nedlloyd Europa, 324 F. Supp. 2d 403, 424-25 (S.D.N.Y. 2004) (“[T]he sea waybill, unlike a traditional bill of lading bill of lading, is not a document of title; it functions merely as a non-negotiable receipt that may also serve as the contract of carriage. Often issued as a short form or blank back document, sea way bills provide significant advantages to the shipper and the carrier in terms of efficiency and speed because, in contrast to bills of lading, the original waybill does not need to be physically transported to its destination in order for the consignee to claim the shipment.”) (citing T.J. Schoenbaum, 2 Admiralty and Mar. Law § 10–11, 63).

And no documents about any D&D disputes with respect to the charges at issue have been produced, because no such disputes were ever raised with Yang Ming by Laufer or anyone else. See, id. at RX49-50; Anki Deposition, RX,32-39; see also, Hallett Deposition, RX51 (“A. Well, in expectation versus fact, I would expect that they would verify that charge was correct before they passed it onto us. Q. All right. So, that's another way of saying they would not have passed on improper charges to SSE, that would be your expectation? A. That would be an expectation, yes.”); id. (“Q. All right. And as you sit here today, do you have recollection of any disputes being

lodged against Laufer for any yard storage? A. As I sit here today, I cannot remember one.”); id. at RX21-22 (“Q. Did anyone at Laufer ever tell you the charges in their assessment that were presented to SSE for detention and demurrage were improper or should not have been presented? A. I don't believe they told me that directly, no. Q. How about indirectly? A. I would not say indirectly, either. Not that I can recall. Q. Did anybody at Laufer ever tell you that Yang Ming had refused to deal with them at any point in time? A. They did not tell me that, no.”).³

There was thus no discovery failure on the part of Yang Ming; Complainant just doesn't like the result of what that discovery uncovered, to wit: nothing.

C. BILLING AND DISPUTES.

With regard to Yang Ming's invoicing and dispute resolution procedures, Complainant largely relies on standards which do not apply to the period in question. Both the Ocean Shipping Reform Act of 2022, Public Law 117-146 (June 16, 2022), and the Final Rule on Demurrage and Detention Billing Requirements, 89 F. R. 14330 (Feb. 26, 2024) (“This final rule is effective on May 28, 2024”), became effective only well-after the events in question here.⁴ Generally, FMC rules apply going forward only and are have no retroactive effect. See, M/S Parsons Overseas v. Seven Seas Shipping USA, Inc., 2 F.M.C. 2d 1, 2019 WL 13203299 (F.M.C. Dec. 12, 2019) (“[A]n agency cannot apply rules retroactively. Absent express Congressional approval, ‘agencies lack the power to promulgate retroactive legislative rules.’”) (citing Health Ins. Ass'n of Am. v.

³ Mr. Hallett's new-found “understanding”, as expressed in his Affidavit, that Laufer did dispute some charges is rank and unattributed hearsay, wholly unsupported by any admissible evidence. (CX4) And, in any event, a party may not create an issue of fact so as to defeat judgment by submitting an affidavit contradicting his own prior deposition testimony. Margo v. Weiss, 213 F.3d 55, 60 (2d Cir. 2000); Perma Research & Dev. Co. v. Singer, 410 F.2d 572, 578 (2d Cir. 1969).

⁴ Assuming arguendo they were to apply, shippers disputing D&D invoicing would be expected to timely communicate and support their contentions, none of which happened in this case. Id.

Shalala, 23 F.3d 412, 422 (D.C. Cir. 1994) (citing Bowen v. Georgetown University Hosp., 488 U.S. 204 (1988)). So any attempted application of the Statute and the Rule to this case would be impermissible. See, OJ Commerce, LLC v. Hamburg Sudamerikanische Dampfschiffahrts-Gesellschaft A/S & Co., No. 21-11, 2023 WL 3969857 (FMC Jun. 7, 2023) (holding that OSRA 22 may not apply retroactively to past acts); Thompson Pipe Group, Inc. v. OMNI Logistics LLC, 2023 FMC LEXIS 86 at *8 (FMC Feb. 24, 2023) (same).

The above notwithstanding, a sampling of Yang Ming's invoicing at the time is before us in Complainant's own Appendix, and there can be no doubt that it contained a veritable plethora of detailed information, including, inter alia, the sea waybill, container, voyage, ports, terminals, dates, tariff terms, and the basis for the calculations in detail. (CX 262-69). Save for including contact information and website details for disputes and the certification, it would, in fact, readily comport with the new requirements instituted years later. See, Final Rule on D&D Billing Requirements, at § 541.6. And, of course, Laufer was already logged in to the system and fully aware of Yang Ming's data and procedures.

Indeed, the very notion of any inadequacy is pure fallacy. Again, no evidence whatsoever has been presented to establish that Laufer, a large, sophisticated, and experienced NVOCC, <https://lgi.laufer.com/why-laufer/>, ever expressed any confusion about the invoices and dispute resolution procedures in place at the time; and Yang Ming's witness confirmed that issues were routinely investigated and, whenever a dispute was communicated to Yang Ming, waivers were issued whenever appropriate. (Anki Deposition, RX32-39). Moreover, even again assuming arguendo the later-instituted Rule had applied back then, requests for mitigation, refund, or waiver should have been timely submitted. See, Final Rule on D&D Billing Requirements, at § 541.6.

That never happened with respect to the charges at issue, which Laufer has never questioned and allegedly felt perfectly comfortable passing on to its customers.

Needless to say, as no request for a refund or dispute was ever lodged, neither has any evidentiary material been submitted to warrant any responsive action. In reaching settlements on the question, the Bureau of Enforcement has described the kind of supports, uniquely within the control of shippers and their truckers when dealing with the terminals, ocean carriers should be entitled to expect.

iii. Evidence of Unavailability

For purposes of the foregoing, the following guidance is provided as to proof of unavailability of appointments:

a. A person wishing to obtain a waiver or refund of detention charges imposed for a specific date (each such date a “Waiver Date”) on the grounds that an appointment was not available on the Waiver Date must provide a screenshot of the appointment system(s) of each terminal utilized by Hapag-Lloyd at the relevant port (in the case of equipment returned to the port) or of the appointment system of each inland facility used by Hapag-Lloyd in a particular inland region (in the case of equipment return to such a facility) taken the day prior to the Waiver Date and on the Waiver Date. Such screenshots must be taken between 6:00 a.m.-12:00pm (noon) the day before the Waiver Date and between 6:00a.m. and 9:00 a.m. on the Waiver Date, in the time zone of the applicable terminal.

b. Screenshots of third-party websites purporting to show unavailability of appointments will be accepted as valid evidence of the information displayed therein provided they meet the following criteria:

1. The third-party website is in widespread use and is generally recognized as reliable and accurate.

2. The screenshot(s) shows the entire screen (including URL) and appointment information for all shifts for all Hapag-Lloyd terminals.

3. The screenshot(s) include an automatically generated date/time stamp or an image of the date and time displayed on screen.

4. The screenshot(s) submitted documents the basis for the dispute (i.e., lack of appointments, chassis restrictions, dual turn requirements, etc.).

c. If a screenshot shows an available appointment that the disputing person asserts could not be used by the motor carrier, the dispute must include a description of why the appointment could not be used.

d. With respect to an inability to perform a dual-transaction, the party submitting the dispute must include a statement from the motor carrier that it attempted in good faith to arrange for a dual-transaction and after reasonable efforts was unable to do so.

iv. The dispute will be denied with respect to any day covered by the dispute for which such evidence is not provided.

See, e.g., Hapag-Lloyd, A.G. – Possible Violations of 46 U.S.C. § 41102(C), Docket No, 21-09, 2022 WL 1744900 (F.M.C. May 18, 2022); accord, Wan Hai Lines - Possible Violations of 46 § 4112(C), Docket No. 21-16, 2022 WL 1485898 (F.M.C. Apr. 21, 2022). No such supports have been presented in this case. Once more, Complainant’s claim is just completely belied by the record.

Nor does the “incentive principle” articulated in the Interpretive Rule on Demurrage and Detention Under the Shipping Act, 46 C.F.R. 545(c), 2020 WL 2569878 (F.M.C. May 18, 2020), lend any support to Complainant’s position. Quite the opposite. D&D is recognized as an essential means of encouraging prompt equipment interchange so as to maintain supply-chain fluidity. Id. Surely, the incentive principle would not be furthered by sustaining requests, as here, for D&D refunds absent any evidence that the charges were wrongfully assessed. And surely, simply pointing to general conditions during this two-year period should not somehow suffice as proof to wipe out two years’ worth of undisputed charges. To reiterate, the particular delays were noted in detail in the invoicing. Complainant has come forward with no evidence that those delays resulted from causes beyond the shippers’ control, and neither has Yang Ming. To credit this claim would effectively eviscerate all D&D and directly undermine the incentive principle.

D. EXPERT OPINION.

Perhaps recognizing this fundamental failure of its proof, Complainant relies on the expert report of John D. McCown, who has no real experience in D&D assessment or even carrier operations, generally, but attempts to indict Yang Ming based only on a grossly unfair, untargeted comparison of Yang Ming's revenues during the period.⁵ But of course, assuming purely for the sake of argument Yang Ming had collected a thousand times more D&D than its peers during this period, that should hardly constitute actual proof that any of the charges in this case were wrongful. So one doesn't need an advanced degree or a career in shipping to see that the entire premise of McCown's opinion is rather obviously flawed and should be disregarded as such.

But even putting the above aside, McCown's analysis and findings are demonstrably incorrect. (Vogt Report, RX53-78). When Yang Ming's revenues from D&D during this period are compared to other ocean carriers in the same trade routes as those at issue (the ones experiencing greater supply-chain snarls, as any reasonable observer should have taken into account), Yang Ming's D&D revenues relative to similarly situated competitors were middling, at best. Id.

Indeed, it is difficult to fathom how Complainant would expect such a report to get by without being so easily debunked. Perhaps the retention of Mr. McCown to prepare it is merely reflective of the desperation of Complainant's position. And the fact that Complainant has brought

⁵ As articulated in detail by Yang Ming's rebuttal expert, Carl Vogt, McCown's opinion is based upon insufficient facts and data, it is not the product of reliable principles and methods, and even those principles and methods were not applied reliably to the facts of the case. (Vogt Report, RX53-78). It should be excluded and stricken, accordingly. See, generally, Fed R. Evid. 702; Daubert v. Merrell Dow Pharmaceuticals, Inc., 509 U.S. 579, 593-94, 113 S. Ct. 2786, 125 L. Ed. 2d 469 (1993); Hein v. Cuprum, S.A., No. 02-7241, 53 Fed. Appx. 134, 2002 U.S. App. LEXIS 24676 (Dec. 5, 2002) (summary order).

the very same claims against the five other carriers employed also categorically belies the notion that Yang Ming was some sort of outlier or otherwise acted unreasonably and, in fact, confirms the disingenuousness of McCown's approach. (Assignment, CX8). In any event, such ham-handed sophistry, having now been called out, should be rejected out of hand.

E. DAMAGES SPREADSHEET.

Finally, Yang Ming notes that Complainant's purported proof of proximately caused damages consists of nothing more than a spreadsheet prepared by Complainant. (Damages Spreadsheet, CX32-38). It is allegedly based upon Laufer's charges, though the testimony confirmed that not all of Laufer's charges were simply Yang Ming pass-throughs. (Anki Deposition, RX27-29). And none of the underlying communications to justify the spreadsheet's calculations have been produced. See, Complainant's Appendix. On this score, as well, therefore, Complainant's case falls woefully short of the level of proof required. See, California Shipping Line, Inc. v. Yangming Transport Corp., Docket No. 88-15, 1990 WL 427466, *24 (F.M.C. Oct. 19, 1990) ("[W]e find that CSL has not established its actual injury with a reasonable degree of certainty. Its proof is so speculative and conjectural that it lacks the requisite degree of certainty. The crux of CSL's proof is Exhibit FFF, Volume I. As indicated earlier, this damage summary was entirely the work of CSL's president and was based on his estimates . . . we find the basic damage summary to be an unconvincing basis upon which to award damages."); see also, TPG Pressure, Inc. v. Omni Logistics, Docket No. 22-31, 2024 WL 4226354, *16 (F.M.C. Sep. 12, 2024) ("The shipment and damages charts and the revised versions are admitted under Federal Rule 611(a) to assist in reviewing the claims, and not as independent evidence of underlying claims under Rule 1006.")

POINT III. COMPLAINANT HAS FAILED TO ESTABLISH ANY IMPROPER REFUSAL TO DEAL OR NEGOTIATE PURSUANT TO 46 U.S.C. § 41104(a)(10).

During the period at issue, Section 41104(a)(10) provided, “[a] common carrier, either alone or in conjunction with any other person, directly or indirectly, may not . . . (10) unreasonably refuse to deal or negotiate.” The refusal to deal or negotiate must be unreasonable. New Orleans Stevedoring Co. v. Bd. Of Commissioners of the Port of New Orleans, Docket No. 00-11, 29 S.R.R. 1066, 1070, 2002 WL 33836158 (F.M.C. June 28, 2002), aff’d sub nom., New Orleans Stevedoring Co. v. FMC, 80 Fed. Appx. 681 (D.C. Cir. 2003) (a common carrier should “refrain from ‘shutting out’ any person for reasons having no relation to legitimate transportation-related factors.”); Canaveral Port Authority, Docket No. 02-02, 2003 WL 723336, at *13, *18 (F.M.C. Feb. 24, 2003) (“Refusals to deal or negotiate are factually driven and determined on a case-by-case basis,” but the burden of persuasion remains with the complainant to show that the refusal to deal or negotiate was unreasonable).

Complainant argues that Yang Ming A) failed to meaningfully address the afore-mentioned e-mails, B) ignored Laufer inquiries regarding adjustments to D&D charges or extensions of free time, C) did not provide discovery of disputes raised by Laufer or its drayage companies, and D) caused economic harm to Complainant. See, Complainant’s Brief, at IV(B). Once again, each is addressed, seriatim, below.

A. E-MAILS.

Yang Ming refers to and fully incorporates POINT II(A) supra. None of the e-mails was even addressed to Yang Ming, which was included only in copy on three. Id. And notably, none indicate Laufer was charged for D&D arising from the situations raised. Id. Indeed, the record is uncontroverted that Yang Ming did not charge D&D at the railhead, which all of the e-mails concerned. Id. Moreover, as with the entirety of Complainant's claim, simply no proof has been presented that the chassis unavailability mentioned in the e-mails was caused by issues beyond the control of the shipper and its truckers, as opposed to other factors. Id. This is truly a sorry showing and hardly worthy of this tribunal.

B. REQUESTS FOR ADJUSTMENTS.

This argument is especially remarkable. It is not only entirely conclusory, without any citation to support in the record, but the testimony and documents confirm without cavil that it is entirely false. As far as Yang Ming is concerned, no evidence has been presented that Laufer or anyone else ever disputed or was denied an adjustment or waiver of any of the D&D charges at issue. See POINT II(B) supra; POINT II(C) supra. It is a figment of Complainant's imagination, devoid of evidentiary support and at odds with the established facts. Id.

C. DISCOVERY.

Yang Ming refers to and fully incorporates POINT II(C) supra. Full discovery has been provided, but "blood cannot be drawn from a stone." Id. The documentary evidence Complainant wants and, perhaps, was hoping to find when this ill-advised claim was brought, simply do not exist. Id. Nor should that be surprising to Complainant, whose witness candidly admitted that during the two-year period at issue, he was aware of no disputes raised to or by Laufer, either. (Hallett Deposition, RX20-22). And Laufer, as Complainant's assignee, would surely be in

possession of any evidence of inappropriate D&D charges presented to, or any refusal to deal by, Yang Ming. But, like Yang Ming, Laufer apparently came up empty as well. This claim should never have been brought and should be dismissed.

D. DAMAGES.

Accordingly, no economic harm was visited upon Complainant by virtue of any unreasonable refusal to deal or negotiate on the part of Yang Ming, because no invitation to deal or investigate was ever sent to Yang Ming in the first place. See POINT II(A)-(C) supra.

Again, Complainant presents only a self-serving spreadsheet purporting, without support, to identify all of the D&D charges it paid to Laufer over a two-year period and asks for compensation from Yang Ming without a whit of evidence of any Shipping Act violation. See POINT II(D) supra. This is not proof. From start to finish, this claim is unserious and should be denied.

CONCLUSION.

WHEREFORE, Yang Ming urges the Commission to dismiss all claims against it and award to Yang Ming attorney's fees, interest, costs, and such other and further relief as may be deemed just and proper.

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Respectfully submitted,

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